

as electric vehicles, cold-storage chains, and green hydrogen-powered trucks and buses.

Corporate Profits

Corporate profits are soaring, contributing significantly to GDP growth. India Inc.'s net profit as a percentage of gross domestic product (GDP) was close to 5% in Q2FY24, and more than double of the 2% recorded in Q2FY21. This surge in profitability is a powerful indicator of the vibrant and expanding Indian business landscape.

Today both Indian and multinational corporates are focussed on the India market. India remains a favoured destination for global investors, and, as per the United Nations Conference on Trade and Development (UNCTAD), India secured the third-highest foreign direct investment (FDI) for new greenfield projects in 2022.

Increased Tax Buoyancy

This economic dynamism is accompanied by a remarkable increase in tax buoyancy at the corporate and individual levels. Tax collections have grown at an average annual rate of 15% over the past five years, creating a broader and deeper tax base. The GST system has rapidly expanded the tax net, increased collections, and formalised the economy. This robust tax revenue gives the government the resources to invest in critical infrastructure projects, creating a virtuous growth cycle.

Rising Per Capita Wealth

As per capita wealth increases, consumption rises, further fuelling the engine of economic growth. This cycle of wealth creation is crucial for sustained economic development. IMF data

shows India's per capita GDP is expected to increase from \$1,974 in 2018 to \$3,985 in 2028, translating into significant improvements in living standards for millions of Indians.

Opportunity for the Banking Sector

As per capita GDP ratchets up to the \$4,000 inflection point, financialisation of assets is also expected to double, moving away from the traditional saving routes of land and gold.

The publicly-owned India Stack is interoperable, democratises data, is decentralised and will continue to drive financial inclusion—be it

is set to witness a slowdown with Total Fertility rates (TFR) slipping below replacement levels. More importantly, globally there is an inverse correlation between female literacy and TFR, which has been relevant for India. Hence going forward, greater female labour force participation would also be a key growth driver.

The Decade of Indian Dominance

In conclusion, the next decade presents an unparalleled opportunity for investors and businesses to be part of this remarkable story.

The government has touched the right chord via policy efforts across

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INDIA'S RISE TODAY RESEMBLES CHINA'S PATH OVER 2007-2011 WHEN NOMINAL GDP GREW FROM \$3.55 TRILLION TO \$7.55 TRILLION, ALTHOUGH AT A SLOWER PACE

with Aadhaar for 1.3 billion Indians or UPI, the world's largest payment network.

Further, strong regulators for banking, capital markets, and insurance have had a deep impact on borrower behaviour. The Insolvency and Bankruptcy Code significantly changed borrower behaviour with errant promoters losing control of their enterprises in the event of a default.

Unlocking Human Potential

India has a young population of 1 billion under 35. So it will clearly continue to enjoy this demographic dividend even as population growth

key reform areas. Going forward we expect the private sector to supplement the compelling consumption and investment story. This decade belongs to India. By capitalising on its inherent strengths, India is poised to become a global economic powerhouse and a leader in sustainable development and human empowerment. The world is watching with anticipation as India embarks on its next chapter of growth and prosperity. **BT**

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